WASHINGTON AUTO INSURANCE PROGRAM
STATE FARM INSURANCE COMPANIES

Filing Memorandum

March 3, 2025 for New and Renewal Business

With this filing, for Commercial Vehicles, we are proposing the removal of inclusive liability limits from State Farm Mutual and State Farm Fire and Casualty. These changes will have no rate impact, and agents will work with impacted customers to select a new limit from the available options. This filing is paired with Private Passenger SERFF Filing #SFMA-134342682. Please note that Commercial and Personal limit changes are reflected in the proposed rate manual given the shared effective date.

ADDITIONAL FILING REQUIREMENTS

As required by Washington law, Exhibit 1 provides additional items in compliance with:

48.19.450	Tort Reform Act
48.19.500	Restraint Systems
48.19.501(1)	Anti-Theft Devices
48.19.501(2)	Rear Brake Lights
48.19.501(3)	More Vehicles Than Drivers

©, Copyright, State Farm Mutual Automobile Insurance Company 2024
No reproduction of this copyrighted material allowed without express written consent from State Farm®

Exhibit 1
STATE FARM INSURANCE COMPANIES
WASHINGTON
ADDITIONAL FILING REQUIREMENTS

(48.19.450) Tort Reform Law -

As we have indicated in past filings, we expected the 1986 Washington tort reform law to have a negligible impact on automobile bodily injury liability loss costs, probably less than 1%. The experience period we have used in developing our rate change indications recognizes loss levels reflecting the 1986 law change.

(48.19.500) Restraint Systems -

Based on the data we have available, enactment of seat belt laws prompts no apparent decline in personal injury claim frequencies. We implemented a Passive Restraint Discount on October 1, 1988 and a Vehicle Safety Discount on January 1, 2001. Personal injury protection and medical payments coverage premiums are reduced when an insured's automobile is equipped with automatic seatbelts and/or air bags for 1993 and prior model years, and all model years of motorhomes, kit cars, and replicas. Premiums for these coverages may also be reduced for certain 1994 or newer vehicles, depending on the medical payments and personal injury protection coverage claim record of that specific make and model of vehicle. Any additional impact that a seat belt law may have on personal injury losses is reflected in the underwriting experience used in our ratemaking process.

(48.19.501(1)) Anti-Theft Devices -

Our IRG adjustment program makes appropriate adjustments by make and model based upon the claims experience. There are no formal guidelines that would help identify which after-market devices are truly effective. Almost any device can be bypassed or overridden, and we do not presently have the statistical evidence that any of the various anti-theft devices on the market can effectively provide protection against the professional thief.

(48.19.501(2)) Rear Stop Lights -

It is very difficult to determine what impact high-mounted brake lights or other lighting devices have had on the loss experience. We would expect any impact to be reflected in our underwriting results by make and model of car with appropriate rate adjustments.

(48.19.501(3)) More Vehicles Than Drivers -

There are numerous administrative problems involved with implementing such a plan, the cost of which may more than offset any expected savings that could be passed on to these particular policyholders.

©, Copyright, State Farm Mutual Automobile Insurance Company 2024
No reproduction of this copyrighted material allowed without express written consent from State Farm®